CASH FLOWS FROM INVESTING ACTIVITIES

Learning Outcome

- describe the steps in the preparation of direct and indirect cash flow statements, including how cash flows can be computed using income statement and balance sheet data

The second and third steps in preparing the cash flow statement are to determine the total cash flows from investing activities and from financing activities. The presentation of this information is identical, regardless of whether the direct or indirect method is used for operating cash flows.

Cash Flows from Investing Activities

Purchases and sales of equipment were the only investing activities undertaken by Acme in 2018, as evidenced by the fact that the amounts reported for land and buildings were unchanged during the year. An informational note in Exhibit 10 tells us that Acme *purchased* new equipment in 2018 for a total cost of USD1,300. However, the amount of equipment shown on Acme's balance sheet increased by only USD243 (ending balance of USD8,798 minus beginning balance of USD8,555); therefore, Acme must have also *sold or otherwise disposed of* some equipment during the year. To determine the cash inflow from the sale of equipment, we analyze the equipment and accumulated depreciation accounts as well as the gain on the sale of equipment from Exhibits 9 and 10. Assuming that the entire accumulated depreciation is related to equipment, the cash received from sale of equipment is determined as follows.

The historical cost of the equipment sold was USD1,057. This amount is determined as shown in Exhibit 27:

Exhibit 27: Cost of Equipment Sold

Beginning balance equipment (from balance sheet)	USD8,555
Plus equipment purchased (from informational note)	1,300
Minus ending balance equipment (from balance sheet)	(8,798)
Equals historical cost of equipment sold	USD1,057

The accumulated depreciation on the equipment sold was USD500, determined as shown in Exhibit 28:

Exhibit 28: Accumulated Depreciation

Beginning balance accumulated depreciation (from balance sheet)	USD2,891
Plus depreciation expense (from income statement)	1,052
Minus ending balance accumulated depreciation (from balance sheet)	(3,443)
Equals accumulated depreciation on equipment sold	USD500

The historical cost information, accumulated depreciation information, and information from the income statement about the gain on the sale of equipment can be used to determine the cash received from the sale, as shown in Exhibit 29:

Historical cost of equipment sold (calculated above)	USD1,057
Less accumulated depreciation on equipment sold (calculated above)	(500)
Equals book value of equipment sold	USD557
Plus gain on sale of equipment (from the income statement)	205
Equals cash received from sale of equipment	**USD762**

Question Set

1. Copper, Inc., a fictitious brewery and restaurant chain, reported a gain on the sale of equipment of USD12 million. In addition, the company's income statement shows depreciation expense of USD8 million and the cash flow statement shows capital expenditure of USD15 million, all of which was for the purchase of new equipment.

Exhibit 30: Copper Inc.

Balance sheet item	31 December 2017	31 December 2018	Change
Equipment	USD100 million	USD109 million	USD9 million
Accumulated depreciation—equipment	USD30 million	USD36 million	USD6 million

Using the information in Exhibit 30 from the comparative balance sheets, how much cash did the company receive from the equipment sale?

A. USD12 million
B. USD16 million
C. USD18 million

Hide Solution

Solution:

B is correct. Selling price (cash inflow) minus book value equals gain or loss on sale; therefore, gain or loss on sale plus book value equals selling price (cash inflow). The amount of gain is given, USD12 million. To calculate the book value of the equipment sold, find the historical cost of the equipment and the accumulated depreciation on the equipment.

- Beginning balance of equipment of USD100 million plus equipment purchased of USD15 million minus ending balance of equipment of USD109 million equals historical cost of equipment sold, or USD6 million.
- Beginning accumulated depreciation on equipment of USD30 million plus depreciation expense for the year of USD8 million minus ending balance of accumulated depreciation of USD36 million equals accumulated depreciation on the equipment sold, or USD2 million.
- Therefore, the book value of the equipment sold was USD6 million minus USD2 million, or USD4 million.
- Because the gain on the sale of equipment was USD12 million, the amount of cash received must have been USD16 million.

2. Silverago Incorporated, an international metals company, reported a loss on the sale of equipment of USD2 million in 2018. In addition, the company's income statement shows depreciation expense of USD8 million and the cash flow statement shows capital expenditure of USD10 million, all of which was for the

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equipment sale?

Exhibit 31: Silverago Inc.

Balance Sheet Item	31 December 2017	31 December 2018	Change
Equipment	USD100 million	USD105 million	USD5 million
Accumulated depreciation—equipment	USD40 million	USD46 million	USD6 million

A. USD1 million
B. USD2 million
C. USD3 million

Hide Solution

Solution:

A is correct. Selling price (cash inflow) minus book value equals gain or loss on sale; therefore, gain or loss on sale plus book value equals selling price (cash inflow). The amount of loss is given—USD2 million. To calculate the book value of the equipment sold, find the historical cost of the equipment and the accumulated depreciation on the equipment.

- Beginning balance of equipment of USD100 million plus equipment purchased of USD10 million minus ending balance of equipment of USD105 million equals the historical cost of equipment sold, or USD5 million.
- Beginning accumulated depreciation of USD40 million plus depreciation expense for the year of USD8 million minus ending balance of accumulated depreciation of USD46 million equals accumulated depreciation on the equipment sold, or USD2 million.
- Therefore, the book value of the equipment sold was USD5 million minus USD2 million, or USD3 million.
- Because the loss on the sale of equipment was USD2 million, the amount of cash received must have been USD1 million.

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